Question #1 of 17

Question ID: 1687656

Large trade sizes will have the largest effect on which of the following?

A) Delay costs.

B)

C) Opportunity costs.

Question #2 of 17

Question ID: 1687667

Which of the following is *most likely* to be used to reduce latency when trading?

A) Underclocked processors.

B) Simple operating systems.

C) Silicon processors.

Question #3 of 17

Question ID: 1687660

The quote for Stock Y is 40.21–40.27.

Which of the following statements is *most accurate*?

A) Buying at 40.21 means the effective spread equals the quoted spread.

B) Selling at 40.20 means the effective spread is higher than the quoted spread.

C) Buying at 40.26 means the effective spread is less than the quoted spread.

Question #4 of 17

Question ID: 1687655

Which of the following is *most accurate* of the impact of electronic trading on transaction costs?

A) Lower transaction costs for large orders, but not for smaller orders.

B) Lower transaction costs for large and small orders, and for institutional and retail investors.

C) Lower transaction costs for institutional investors, but not for retail investors.

Question #5 of 17

Question ID: 1687659

Consider a buy order for 12,000 shares of Stock P. A summary for the trade prices, sizes, prevailing bid, and offer prices are shown here:

Trade	Trade Price	Trade Size	Prevailing Bid	Prevailing Offer
1	15.22	4,000	15.18	15.22
2	15.29	8,000	15.19	15.23

Calculate the simple average effective spread for the overall share purchase.

A) 0.04.

B) 0.08.

C) 0.10.

Question #6 of 17

Question ID: 1687664

Which type of trader attempts to exploit the option value of standing orders?

A) Electronic arbitrageurs.

B) Electronic front runners.

C) Electronic quote matchers.

Question #7 of 17

Question ID: 1687657

Which of the following is *most accurate* of market fragmentation?

A) It increases price disparity.

B) It reduces price disparity.

C) It has no effect on price disparity.

Question #8 of 17

Question ID: 1687670

A trader uses electronic arbitrage strategies. Which of the following is the *least* risky strategy?

A) Take liquidity on both sides.

B) Offer liquidity on both sides.

C) Offer liquidity on one side.

Question #9 of 17

Question ID: 1687663

Which trader is *most likely* to deploy natural language-processing techniques as the basis for trading decisions?

A) Electronic front runners.

B) Electronic news traders.

C) Electronic dealers.

Question #10 of 17

Question ID: 1687662

Which type of trader may typically trade in and out of a security more than 1,000 times during a single day in small sizes?

A) High-frequency trader.

B) Low-latency trader.

C) Electronic news trader.

Question #11 of 17

Question ID: 1687669

Which of the following is created to reduce the latency of electronic trading?

A) Contingency table.

B) Probability table.

C) Profitability table.

Question #12 of 17

Question ID: 1687666

Which of the following *best* describes the three needs for speed?

A) Faking, taking, and canceling.

B) Canceling, making, and taking.

C) Taking, making, and creating.

Question #13 of 17

Question ID: 1687671

Which of the following real-life events illustrates the systemic risks of a runaway algorithm?

A) May 6, 2010: the Flash Crash.

B) May 18, 2012: the Facebook IPO.

C) August 1, 2012: Knight Capital trading failure.

Question #14 of 17

Question ID: 1687658

A portfolio manager reviews the following limit order book for shares of Instep, Inc. (INSP):

	Bid	**Ask**
Dealer X	88.87 for 500 shares	90.41 for 900 shares
Dealer Y	88.86 for 400 shares	90.45 for 700 shares

Dealer Z	88.81 for 600 shares	90.39 for 200 shares

Calculate the market spread.

A) 1.58.

B) 1.54.

C) 1.52.

Question #15 of 17

Question ID: 1687661

The trades for Stock Q during the trading day are as follows:

- Transaction 1: 3,000 shares sold at USD 20.20
- Transaction 2: 2,000 shares sold at USD 20.18
- Transaction 3: 8,000 shares sold at USD 20.12
- Transaction 4: 2,000 shares sold at USD 20.13

Trader X executed Transactions 2 and 3. **Calculate** the VWAP transaction cost.

A) USD 120.

B) USD 125.

C) USD 130.

Question #16 of 17

Question ID: 1687668

Which type of computer code is *most likely* used to reduce latency for trading?

A) Python.

B) MS-DOS.

C) C++.

Question #17 of 17

Question ID: 1687665

Which of the following *best* describes the expectations of electronic news traders?

A) News traders expect successful trades most of the time.

B) News traders expect successful trades occasionally.

C) News traders expect successful trades half of the time.